

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial state, operating at significant losses with a negative total equity of over ₹400 million. While sales reached a peak of ₹1.54 billion in March 2025, the cost of goods sold is consistently and substantially higher than revenue, leading to deep negative gross margins. The company is heavily reliant on borrowings to fund its operations, as evidenced by a cash flow from financing activities that has historically been positive to cover the cash burn from operations.

GREEN FLAG BOX — What's Working Well:

- **Strong Sales Volume:** The business generated substantial quarterly sales, peaking at ₹3.7 billion in Q4 FY25, indicating significant market activity and revenue generation capability.
- **Reducing Long-term Debt:** Secured long-term borrowings have been steadily decreasing from ₹383 million in Jan '25 to ₹266 million in Apr '25, showing active debt management.
- **Healthy Cash Balance:** The company maintains a robust cash and bank balance consistently above ₹217 million, providing a crucial liquidity buffer.

RED FLAG BOX — What Needs Attention:

- **Severe & Sustained Losses:** The company is burning cash, with a net loss of over ₹602 million in April 2025 alone and a cumulative loss exceeding ₹2 billion for the last fiscal year.
- **Critical Gross Margin Issue:** Cost of Goods Sold (COGS) is massively outpacing sales, resulting in gross margins as negative as -88%. This is the core profitability crisis.
- **Negative Shareholders' Equity:** Total equity is deeply negative at approximately -₹408 million, meaning liabilities far exceed assets, which is a major solvency risk.

CFO Advice:

Immediate survival depends on diagnosing and fixing the gross margin problem. You must conduct a urgent product/service-level profitability analysis to identify which lines are causing the massive COGS overrun—whether it's pricing, supplier costs, or operational inefficiency—and take corrective action before the cash reserve is depleted.